Real Estate Practice

Assignment Booklet

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General Information

Course Timing Guidelines:

- Minimum of 2 ½ weeks to complete each course
  - 1 Course = 18 days, 2 Courses = 36 days, 3 Courses = 54 days, etc.
- Maximum of 1 year to complete the courses for which you are enrolled
- Guideline questions may be answered by calling Revei: (800) 582-7979

Test Information:

- Each course has its own open-book final exam
- Final exams are 100 multiple choice questions
- Maximum of 3 hours to complete each exam
- Use of a *non-programmable* calculator is permitted

Special Note: Students wishing to take a proctored final exam (taking exam with pen and paper) must contact Revei in order to do so. Taking proctored exams is subject to an extra fee, pursuant with extra paper and mailing costs. *All course and testing information and guidelines remain the same when testing with a proctor.*

Cancellation & Refund Policy:

Cancellation – Student must terminate enrollment by phone. All course textbooks and materials must be returned unused, in mint condition, for any cancellation to be valid. Cost of returning materials will belong to student. *Refund* – 100% refund of purchase price will be honored if student terminates enrollment within 7 days from the date of purchase. 50% refund of purchase price will be honored if student terminates enrollment within 14 days from the purchase date. No refunds will be given for cancelling after 14 days from purchase date. Refunds will only be processed after materials have been returned to Revei.

Testing & Grading:

Final exams are available through the Revei Learning Portal at www.revei.com. Please see the login instructions included in your package for username and password. Passing score is 60% or better.

1. How a house looks to a passerby when compared to the rest of the neighborhood is called:
    a. curb appeal.
    b. viewability.
    c. competitive factor.
    d. all of the above.
2. Both buyers and sellers should receive copies of any real estate agreement:
    a. after a three day waiting period.
    b. when it is signed.
    c. at the close of escrow.
    d. none of the above.
3. When selling an older home, disclosure must be made to the buyer of any insurance claims made within the last:
    a. three days.
    b. three months.
    c. five years.
    d. none of the above.
4. When a phone caller inquires about a property that's no longer available, a switch sheet allows an agent to:
    a. quickly reference similar properties.
    b. confuse the caller with too many alternatives.
    c. legally use the bait-and-switch technique.
    d. pre-qualify the caller before showing other properties.
5. This new type of barcode that consists of black modules (square dots) arranged in a square grid on a white background, which can be read by an imaging device is called a:
    a. QR code.
    b. RFID tag.
    c. Scanning square.
    d. PR code.
6. To be called a "REALTOR®," a licensee must be:
    a. a member of the National Association of REALTORS® (NAR).
    b. a member of the State Bar of California.
    c. a broker.
    d. none of the above.
7. A real estate salesperson's license is valid for:
    a. one year.
    b. four years.
    c. ten years.
    d. a lifetime.
8. Which of the following can a potential borrower compare online?
    a. Interest rates
    b. Points
    c. Fees
    d. All of the above
9. The Federal Civil Rights Act of 1968 was based on the Supreme Court case of:

a. Jones v. Jones.
b. Jones v. Smith.
c. Jones v. Mayer.
d. none of the above.

10. Which of the following statements is generally considered correct concerning brokerage firms that hire real estate assistants?
    a. Agents who hire assistants list more properties than those who don't.
    b. Agents who hire assistants sell more properties than those who don't.
    c. Both a and b are correct.
    d. Neither a nor b is correct.
11. Which of the following is an excellent resource for finding FSBOs?
    a. Craigslist
    b. EBay
    c. Twitter
    d. Angies List
12. An open house is a prospecting tool for finding:
    a. buyers.
    b. sellers.
    c. both a and b.
    d. neither a nor b.
13. Sources of listings may include:
    a. probate attorneys.
    b. "for sale by owner" ads.
    c. foreclosures.
    d. all of the above.
14. Which of the following allows you to send both word messages and pictures with just the client's smartphone number?
    a. Email
    b. Texting
    c. Phishing
    d. None of the above
15. Which of the following is one of the most used search engines for locating a real estate professional?
    a. EBay
    b. Craigslist
    c. Google
    d. YouTube
16. A real estate office concerned with its immediate and residual impact on the environment is best described as a(n):
    a. environmentally friendly office.
    b. smoke-free office.
    c. green office.
    d. none of the above.
17. Which of the following is TRUE concerning the employment relationship between the broker and salesperson?

a. A salesperson actively involved in real estate activities must be employed by a licensed broker.
b. The CalBRE considers a salesperson an employee of the broker, even if he or she is an independent contractor, for the administration of the real estate broker law.
c. The broker must carry worker's compensation insurance for his or her salespeople.
d. All of the above are true.

18. Which of the following websites is associated with NAR?
    a. Realtor.com
    b. Comicon.com
    c. National area rentals.com
    d. None of the above
19. For income tax purposes, the straight-line depreciation schedule for RESIDENTIAL property is a minimum of:
    a. 27.5 years.
    b. 39 years.
    c. 55 years.
    d. none of the above.
20. Mello-Roos liens are municipal bonds issued to fund:
    a. federal lending organizations.
    b. local streets and sewers.
    c. local political campaigns.
    d. all of the above.
21. A real estate broker who wants to include negotiation of loans for prospective borrowers and the sale of trust deeds secured by real property will need:
    a. a real property security dealer's endorsement.
    b. to speak several languages.
    c. a law degree.
    d. all of the above.
22. Death does not cancel escrow because:
    a. it is binding on the heirs (estate).
    b. of the prior agreed-to contract.
    c. both a and b are correct.
    d. neither a nor b is correct.
23. Escrow is not officially closed until:
    a. all the conditions of escrow have been completed.
    b. the buyer's remaining money is received.
    c. the documents are recorded.
    d. all of the above.
24. The Foreign Investment in Real Property Tax Act (FIRPTA) can be found on which CAR form?
    a. Residential Listing Agreement
    b. Seller's Affidavit of Nonforeign Status
    c. Estimated Seller's Proceeds
    d. None of the above

25. In a listing agreement, handwritten or typed-in instructions:
    a. are given precedence over preprinted instructions.
    b. are superseded by preprinted instructions.
    c. are not permissible.
    d. none of the above.
26. In a trust deed, the party who is borrowing money is called the:
    a. trustor.
    b. trustee.
    c. beneficiary.
    d. none of the above.
27. Which of the following is NOT an institutional lender?
    a. Savings bank
    b. Private lender
    c. Commercial bank
    d. Life insurance company
28. The loss of value due to factors within a structure is called:
    a. functional obsolescence.
    b. economic obsolescence.
    c. social obsolescence.
    d. all of the above.
29. Liquidated damages are:
    a. the damages caused by flooding.
    b. paid for not fulfilling a clause or condition in the contract.
    c. agreed to in advance and stated in the contract.
    d. both b and c are correct.
30. The seller must provide the buyer with a Lead-Based Paint Notice as an attachment to the purchase contract if the residential property was constructed:
    a. prior to 1998.
    b. prior to 1988.
    c. prior to 1978.
    d. all of the above.
31. An incoming call register is a useful tool for:
    a. record keeping.
    b. controlling ad revenue and expenses.
    c. following up on inquiries.
    d. all of the above.
32. The processing of the paperwork and money involved in a real estate transaction by a neutral third party is referred to as:
    a. usury.
    b. escrow.
    c. pre-qualifying.
    d. none of the above.
33. Surveys have shown that younger clients prefer to be contacted by their real estate agent via:
    a. email.
    b. tweet.

c. text.
d. all of the above.

34. The higher the gross multiplier:
    a. the higher the price.
    b. the lower the price.
    c. the lower the commission.
    d. none of the above.

35. The process of getting listing information displayed on numerous other websites is:
    a. networking.
    b. listing syndication.
    c. yahooing.
    d. spamming.

36. Which of the following social networking sites allows you "pin" images, articles, videos, etc. to a virtual bulletin board?
    a. LinkedIn
    b. Pinterest
    c. Facebook
    d. Twitter

37. A packet of forms an agent provides to the seller when taking a listing is called:
    a. a package deal.
    b. a master kit.
    c. a listing kit.
    d. none of the above.

38. The Continuing Education (CE) requirement to renew a license is:
    a. 10 hours every 2 years.
    b. 20 hours every 4 years.
    c. 45 hours every 4 years.
    d. none of the above.

39. Any person who is actively involved in a real estate transaction at the service of another, in the expectation of receiving a commission, must be:
    a. licensed.
    b. bonded.
    c. a citizen.
    d. all of the above.

40. At what age does the average person start buying a retirement home?
    a. 26
    b. 31
    c. 42
    d. 65

41. If there is a contradiction in the purchase agreement form:
    a. the form is considered void.
    b. the handwritten or typed-in words supersede the printed words.
    c. the printed words supersede the written or typed-in words.
    d. none of the above.

42. If there is a contradiction in the purchase agreement form:

a. the handwritten or typed-in words supersede the printed words.
b. the printed words supersede the written or typed-in words.
c. the form is considered void.
d. the Real Estate Commissioner must decide which takes precedence

43. Which of the following statements is NOT TRUE concerning listings in California?
    a. Listing agreements must be in writing.
    b. A listing is considered an employment contract between principal and agent/broker.
    c. Listing agreements are also referred to as purchase contracts.
    d. A listing agent is bound by the laws of agency.
44. Which of the following property is tax exempt in California?
    a. National and state parks
    b. Property owned by non-profit organizations
    c. Residential property
    d. Both a and b are correct
45. The Housing Financial Discrimination Act of 1977 prohibits:
    a. redlining.
    b. steering.
    c. blockbusting.
    d. none of the above.
46. What percentage of prospective homebuyers uses the Internet to search for a home before contacting an agent?
    a. 90%
    b. 70%
    c. 50%
    d. 30%
47. What entity requires that you include your salesperson or broker's license number on all your real estate websites?
    a. Google
    b. Yahoo
    c. CalBRE
    d. Go Daddy
48. Which social media site only allows the use of 140 or less characters?
    a. LinkedIn
    b. Facebook
    c. Twitter
    d. Texting
49. An ad valorem tax is a tax that is charged:
    a. in proportion to the value of the property.
    b. to foreign investors only.
    c. both a and b.
    d. neither a nor b.
50. Which of the following is the best way to keep track of the ads that bring in phone inquiries?
    a. Ad call log book

b. Company phone bill
c. Reverse directory
d. Phone answering machine

51. The compensation for processing the loan and setting it up on the books, which is based on the loan amount, is:
    a. interest.
    b. a loan origination fee.
    c. the prevailing market rate.
    d. start up fee.
52. In a trust deed, the party who is lending the money is called the:
    a. trustor.
    b. trustee.
    c. beneficiary.
    d. none of the above.
53. Which of the following refers to a business that has an actual physical presence?
    a. Online
    b. Virtual
    c. Brick and mortar
    d. Cloud
54. Under a "Covenant Not to Compete," a seller usually agrees not to open a competing business:
    a. for a period of time.
    b. within a specified geographical area.
    c. both a and b are correct.
    d. neither a nor b is correct.
55. The Verification of Property Condition form is filled out:
    a. when the buyer first visits the property.
    b. during the final walk-through.
    c. by pest inspectors.
    d. all of the above.
56. Which of the following forms details the total cost of the purchase, including monthly payments?
    a. Buyer's Inspection Advisory
    b. Estimated Buyer's Costs
    c. Notice to Seller to Perform
    d. None of the above
57. All the documents a brokerage generates for a single completed transaction are kept in:
    a. the broker's PDA.
    b. a master transaction file.
    c. the assistant's home.
    d. none of the above.
58. A publication or website that lists telephone numbers by addresses rather than names is called a:
    a. cold call directory.
    b. multiple listing directory.

c. reverse directory.
d. none of the above.

59. A salesperson who is actively engaged in professional real estate activities must be employed by:
    a. the state of California.
    b. a licensed real estate broker.
    c. another real estate licensee with at least 5 years experience.
    d. none of the above.

60. In California, who customarily conducts the title search, prepares preliminary reports, and issues policies of title insurance?
    a. Title insurance company
    b. Escrow company
    c. Real estate agent
    d. None of the above

61. The basic types of income producing properties include:
    a. office buildings.
    b. retail property.
    c. industrial property.
    d. all of the above.

62. Lenders who charge an additional processing fee to non-English speaking applicants because of the cost of hiring bilingual employees:
    a. are exempt from discrimination charges.
    b. are guilty of practicing discrimination.
    c. are just practicing good business techniques.
    d. none of the above.

63. In a purchase contract, which of the following are NOT usually considered a financing contingency?
    a. Obtaining the deposit
    b. Obtaining the down payment
    c. Obtaining closing costs
    d. All of the above

64. Real estate assistants who choose to become notary publics must:
    a. also have a broker's license.
    b. maintain an official record called a notary journal.
    c. use an official seal of notary.
    d. both b and c are correct.

65. The most updated real estate information online can be found on:
    a. Realtor.com
    b. Zillow.com
    c. Trulia.com
    d. Craigslist.com

66. In a listing agreement, which instructions are given the most consideration (take precedence)?
    a. Handwritten instructions
    b. Preprinted instructions
    c. Oral instructions

d. None of the above

67. Which of the following listing forms does the seller receive a copy of?
    a. Residential listing agreement
    b. Seller's advisory
    c. Estimated seller's proceeds
    d. All of the above

68. The terms mortgagee and mortgagor refer to:
    a. mortgages only.
    b. trust deeds only.
    c. mortgages and trust deeds.
    d. none of the above

69. The collection of seller information from several MLSs to post on to one site for easier comparison is known as:
    a. MLS surfing.
    b. MLS aggregation.
    c. MLS poaching.
    d. MLS segregation.

70. An MLS and its cooperating brokers are denied access to a listing by the seller, and only the listing agent or member of his or her firm are given permission to show and present offers on a property. This is called a(n):
    a. free-for-all.
    b. open listing.
    c. office exclusive.
    d. none of the above.

71. The rollback of California Property tax to 1% of the selling price, plus 2% cumulative interest every year thereafter, was mandated by:
    a. Proposition 11.
    b. Proposition 13.
    c. Proposition 58.
    d. All of the above.

72. Errors and Omissions insurance is meant to protect whom from liability?
    a. Brokers
    b. Agents
    c. Both a and b
    d. Neither a nor b

73. The purpose of a lockbox is to:
    a. store keys to the property for agent access.
    b. store sensitive documents in broker's office.
    c. protect "for sale" signs from being tampered with.
    d. none of the above.

74. Which of the following is known for using Automated Valuation Systems (AVMs)?
    a. Zillow.com
    b. CAR.org
    c. Facebook.com
    d. Realtor.com

75. Which of the following is NOT one of the three requirements for a valid escrow?
    a. Signed escrow instructions
    b. Legal advice
    c. Neutral third party as an escrow company
    d. Conditional delivery of funds and documents
76. An “encumbrancer” has an interest in a property by value of having:
    a. placed a lien on a property.
    b. acquired an easement against the property.
    c. imposed restrictions against the property.
    d. all of the above.
77. FSBO refers to which of the following?
    a. Financing Secured By Owner
    b. Financing Subject to Buyer's Okay
    c. Fire Sale By Owner
    d. For Sale By Owner
78. The Real Estate Commissioner is:
    a. elected by the voters.
    b. appointed by the Governor.
    c. appointed by the state Attorney General.
    d. none of the above.
79. In California, a real estate assistant:
    a. is not required to be licensed.
    b. is required to have a salesperson’s license.
    c. is required to have a broker’s license.
    d. must be bonded and fingerprinted.
80. The Improvement Bond Act of 1915:
    a. is a special assessment tax.
    b. finances street and highway improvements.
    c. is based on the frontage of property facing the improved street.
    d. all of the above.
81. Which of the following would normally be found in a shared document file?
    a. Seller's information
    b. All disclosures
    c. Buyer's information
    d. all of the above
82. Thanks to Internet technology as an agent or broker you can now legally:
    a. get copies of your competitors tax returns.
    b. track how many potential buyers access a particular property’s website.
    c. spy on your competitor’s office through their webcam.
    d. all of the above.
83. Ownership of a website (domain name) is treated legally most like:
    a. illusory contracts.
    b. personal property.
    c. real property (cyber real estate).
    d. none of the above.

84. A weekly outing whereby all available salespersons from one office preview all the newest brokerage listings is called:
    a. office caravan.
    b. weekly staff meeting.
    c. property field trip.
    d. listing preview.
85. What agency regulates the issuance of liquor licenses in California?
    a. California Liquor Board (CLB)
    b. California Bureau of Real Estate (CalBRE)
    c. California Department of Alcoholic Beverage Control (ABC)
    d. All of the above
86. Which of the following is TRUE concerning the Buyer's Request for Repairs?
    a. The buyer's request is really a wish list.
    b. The seller may choose to do all, some, or none of the repairs.
    c. The buyer can remove request and submit a new one.
    d. All of the above are true.
87. Liability insurance that protects the agent and broker from catastrophic lawsuits brought by the public is called:
    a. Errors and Deletion insurance.
    b. Errors and Omission insurance.
    c. Accidental Overdose insurance.
    d. Double Indemnity insurance.
88. What type of listing is considered the least desirable?
    a. Exclusive listing
    b. Open listing
    c. Multiple listing
    d. None of the above
89. Which of the following is true concerning the Transfer Disclosure Statement?
    a. It must be provided to prospective buyers by sellers of one- to four-residential units.
    b. A buyer has two years to sue an agent for failure to make proper disclosures.
    c. The listing agent is not legally allowed to complete the entire statement.
    d. All of the above.
90. Which of the following is NOT true concerning REITs in California?
    a. A REIT is a real estate investment company.
    b. A REIT sells ownership shares.
    c. REITs are illegal in California.
    d. REITs are legal in California.
91. An allowance for vacancies and uncollectible rents is called:
    a. diminished return.
    b. gentrification.
    c. vacancy factor.
    d. none of the above.
92. Common interest developments are governed by members of:
    a. homeowner's associations.

b. property management associations.
c. the State Board of Equalization.
d. none of the above.

93. To earn a commission, a broker must produce a buyer who is:
    a. ready.
    b. willing.
    c. able.
    d. all of the above.

94. Character, capacity, and capital are called the three C's of:
    a. salesmanship.
    b. credit.
    c. real estate.
    d. competition.

95. When selling real estate, the least effective form of communication is:
    a. direct contact (face-to-face).
    b. by letter (one-way).
    c. by telephone (two-way).
    d. none of the above.

96. If any financing term is mentioned in an ad, the FTC requires the ad also mention the:
    a. annual percentage rate (APR).
    b. semi-annual percentage rate (APR).
    c. phone number of the Real Estate Commissioner.
    d. all of the above.

97. The Statewide Buyer and Seller Advisory (SBSA) is signed by:
    a. the buyer.
    b. the seller.
    c. both a and b.
    d. escrow only.

98. In California, an apartment complex with 16 or more units:
    a. must have an outside property manager.
    b. must have an on-site property manager.
    c. must have two on-site property managers.
    d. none of the above.

99. The main purpose of the CalBRE is to:
    a. protect the public.
    b. protect brokers.
    c. make money for the state.
    d. none of the above.

100. The Contingency for Sale or Purchase of the Property form indicates whether a condition of the sale depends on:
    a. the sale of the buyer's property.
    b. the seller's purchase of a replacement property.
    c. both a and b are correct.
    d. neither a nor b is correct.

101. What type of lease calls for an additional percentage of the lessee's gross business income above the minimum fixed rent?
    a. Graduated lease
    b. Flat rental lease
    c. Percentage lease
    d. Triple net lease
102. How many brokers can a salesperson work for at a time?
    a. Only one
    b. Two
    c. No limit, if properly disclosed to all employing brokers
    d. It depends on how many sales he or she makes per year
103. The most frequently visited social networking site on the Internet is:
    a. Instagram.
    b. Facebook.
    c. MySpace.
    d. E-Harmony.
104. To be classified as a mobile home (manufactured housing), a vehicle must be:
    a. 15 feet wide.
    b. 8 feet wide.
    c. 40 feet long.
    d. both b and c are correct.
105. When writing effective ads, the formula "AIDA" refers to:
    a. attention, interest, desire, action.
    b. avoid, imply, deceive, assume.
    c. advertising inferior dwellings aggressively.
    d. none of the above.
106. The county officer who collects real property taxes is the:
    a. county assessor.
    b. county tax collector.
    c. president of the county board of supervisors.
    d. all of the above.
107. What is becoming the most commonly requested form of communication between client and agent?
    a. Postcard
    b. Text
    c. Email
    d. Phone call
108. A personal hotspot that lets smartphone users share their wireless data connection with other nearby devices is also called:
    a. Wi-Fi theft.
    b. Bluetooth hacking.
    c. portal jump.
    d. tethering.
109. The Documentary Transfer Tax is computed at:
    a. 55 cents for each $100.
    b. 55 cents for each $200.

c. 55 cents for each $500.
d. 55 dollars for every $500.

110. Escrow can be terminated by all of the following, EXCEPT:
a. seller's rescission without buyer's consent.
b. completion of escrow.
c. mutual agreement.
d. court (interpleader) action.

111. Which large tech-savvy segment of the population should create the next house buying wave?
a. Baby boomers
b. Generation X
c. Millennials
d. None of the above

112. To earn the commission guaranteed by a safety clause, the original listing broker must provide the seller with a list of prospects who were shown or made offers on the property within:
a. 300 calendar days of the expiration of the original listing.
b. 30 calendar days of the expiration of the original listing.
c. 3 calendar days of the expiration of the original listing.
d. none of the above.

113. Real estate assistants who choose to become notary publics must:
a. also have a broker's license.
b. maintain an official record called a notary journal.
c. use an official seal of notary.
d. both b and c are correct.

114. The sum of money agreed to in advance and stated in the contract that will be paid as damages by the buyer for not fulfilling a clause or condition in the contract is a provision called:
a. easy escrow provision.
b. liquidated damage provision.
c. punitive retaliation provision.
d. none of the above.

115. Escrow companies use a base month of:
a. 28 days.
b. 30 days.
c. 31 days.
d. any of the above.

116. A report showing the condition of title before a sale or loan transaction is called the:
a. preliminary title report.
b. proration report.
c. standard form fire insurance policy.
d. preliminary index report.

117. Copies of the listing agreement must be given to the signing parties:
a. at the time signatures are obtained.
b. within 30 days of signing.

c. within 90 days of signing.
d. none of the above.

118. Advantages to home ownership include:
a. appreciation.
b. tax benefits.
c. equity buildup.
d. all of the above.

119. In a trust deed, the party who is usually borrowing money is called the:
a. beneficiary (lender).
b. trustee (third party).
c. trustor (buyer).
d. none of the above.

120. What does QR code stand for?
a. Quiet Response
b. Quick Response
c. Query Response
d. Quote Rates

121. Economic obsolescence is:
a. not considered "curable."
b. also referred to as functional obsolescence.
c. loss of value due to conditions outside the property itself (external).
d. both a and c are correct.

122. The California state law that prohibits steering and blockbusting is:
a. the Unruh Civil Rights Act.
b. the Redlining Prohibition Act.
c. the Federal Civil Rights Act.
d. none of the above.

123. Under the buyer occupancy section of the purchase contract, the term "CE+3" means:
a. the buyer will take possession 3 days after the close of escrow.
b. the buyer will take possession 3 weeks after the close of escrow.
c. the buyer will take possession 30 days after the close of escrow.
d. none of the above.

124. The term CMA refers to:
a. Comparable Marketing Arrangement.
b. Comparative Market Analysis.
c. Cooperative Marketing Associates.
d. Coordinated Multiple Analysis.

125. The Real Estate Settlement Procedures Act (RESPA) covers the sale of:
a. 16 or more units.
b. one- to four-residential units.
c. income producing property.
d. none of the above.

126. Police power provisions are laws created to benefit:
a. health.
b. safety.

c. morals.
d. all of the above.

127. Operating expenses that do not vary depending on the occupancy of the property are:
a. fixed expenses.
b. variable expenses.
c. effective expenses.
d. all of the above.

128. If an owner enters into an exclusive agency listing and thereafter sells the property through his or her own efforts:
a. the broker is entitled to his or her full commission, plus damages.
b. no commission is payable.
c. the broker takes title to the property.
d. the broker must pay the owner a commission.

129. In creating a Comparative Market Analysis (CMA), which of the following is important?
a. Only show listing prices of nearby homes.
b. Only select recent sales of comparable properties.
c. Only create a CMA if the buyer requests it.
d. None of the above.

130. The term APR refers to:
a. annual percentage rate.
b. average percentage rate.
c. annual points required.
d. none of the above.

131. To qualify for a broker's license, a four-year bachelor's degree with a major or minor in Real Estate is equal to:
a. 1 year of experience.
b. 2 years of experience.
c. 4 years of experience.
d. none of the above.

132. Seller's disclosures must be approved as soon as possible:
a. by buyers.
b. to insure a binding contract.
c. both a and b are correct.
d. none of the above.

133. The most commonly used purchase contract in California is the:
a. California Residential Purchase Agreement and Joint Escrow Instructions form.
b. Residential Listing Agreement and Exclusive Right to Sell form.
c. Competitive Market Analysis form.
d. none of the above.

134. A time-tested method used in writing real estate ads is a formula known by the acronym (initials):
a. ABBA.
b. AIDA.

c. AWOL.
d. AKKA.

135. When you are an agent for ONLY one party, representing either the seller OR the buyer, it is called:
    a. fiduciary agency.
    b. dual agency.
    c. lone representation.
    d. single agency.

136. Which of the following is on online social networking site for business professionals to connect, network, and engage?
    a. MySpace
    b. Twitter
    c. LinkedIn
    d. Google Maps

137. A resident manager:
    a. lives on the property.
    b. may also be referred to as an on-site manager.
    c. may also be referred to as a building superintendent.
    d. all of the above.

138. To secure an endorsement as a real property securities dealer:
    a. a broker's license is required.
    b. a notary public license is required.
    c. a law degree is required.
    d. all of the above.

139. An "open house" is a planned period of time during which a property for sale:
    a. is held open for public viewing.
    b. can be shown only to licensed brokers.
    c. is withheld from placement with a multiple listing service.
    d. none of the above.

140. A salesperson who receives all (or nearly all) of the commission earned from a real estate transaction:
    a. has a 100% commission arrangement with his or her broker.
    b. has a 50/50 commission contract.
    c. is breaking real estate law.
    d. none of the above.

141. "No Darn Fooling Around" is a method for remembering:
    a. important property tax dates.
    b. scheduled balloon payments.
    c. relative's birthdays.
    d. none of the above.

142. To earn a commission, a broker must produce a buyer who is:
    a. realistic, reliable, and ready.
    b. interested, sincere, and literate.
    c. ready, willing, and able.
    d. flexible, cooperative, and genuine.

143. A seller of a business agrees not to open another business establishment similar to that being sold for six months. Such an agreement is called a:
    a. cease and desist order.
    b. covenant not to compete.
    c. covenant of allocation.
    d. give and take agreement.
144. The rollback of California property tax to 1% of the selling price, plus 2% cumulative interest every year thereafter, was mandated by:
    a. Proposition 11.
    b. Proposition 13.
    c. Proposition 58.
    d. all of the above.
145. Before making an offer, which of the following forms should be provided to the buyer detailing the total cost of the purchase, including monthly payments?
    a. Buyer's Inspection Advisory
    b. Estimated Buyer's Costs
    c. Buyer's Affidavit
    d. None of the above
146. A person who is paid to exercise control over the assets of a common interest development is a:
    a. PRLS.
    b. managing agent.
    c. mortgage banker.
    d. all of the above.
147. Which of the following government organizations makes direct loans to borrowers?
    a. FHA
    b. VA
    c. CalVet
    d. None of the above
148. On owner-occupied property, the Homeowner's Property Tax Exemption is the first:
    a. $7,000 of assessed value.
    b. $17,000 of assessed value.
    c. $77,000 of assessed value.
    d. none of the above.
149. An assistant working as an independent contractor may be expected to:
    a. pay his or her own taxes.
    b. work regular hours from 9 to 5.
    c. work under heavy supervision.
    d. none of the above.
150. A charge to the borrower for paying off all or part of a loan balance before the due date:
    a. is illegal in California.
    b. is called a prepayment penalty.
    c. is called an impound account.

d. all of the above.

151. The type of ordinance in a city on residential properties that controls rents charged and how big rent increases can be is called:
    a. code enforcement.
    b. rent control.
    c. mello roos.
    d. senior housing enforcement.

152. A person whose physical conduct is not subject to the control of another, and who sells results rather than time, is:
    a. an employee.
    b. an employer.
    c. an independent contractor.
    d. all of the above.

153. The list of potential clients that an agent contacts on a regular basis:
    a. is considered his or her "sphere of influence."
    b. always belongs to his or her broker.
    c. is technically considered harassment.
    d. is a waste of time.

154. The California Standard Form Fire Insurance Policy insures against:
    a. fire and lightning.
    b. fire and flood.
    c. fire and earthquake.
    d. all of the above.

155. The seller must provide the buyer with a Lead-Based Paint Disclosure as an attachment to the purchase contract if the residential property was constructed:
    a. prior to 1968.
    b. prior to 1978.
    c. prior to 1988.
    d. prior to 1998.

156. The average amount an agent spends on real estate technology annually is:
    a. between $100 and $200.
    b. between $300 and $500.
    c. between $500 and $1,000.
    d. between $1,000 and $3,000.

157. The form that is often referred to as “FIRPTA” is the:
    a. Real Estate Transfer Disclosure Statement.
    b. Natural Hazard Disclosure Statement.
    c. Seller’s Affidavit of Nonforeign Status and/or California Withholding Exemption.
    d. none of the above.

158. The Real Estate Commissioner has the right to:
    a. revoke a license.
    b. restrict a license.
    c. suspend a license.
    d. all of the above.

159. The Federal Home Loan Mortgage Corporation (FHLMC) is commonly known as:
    a. Freddie Mac.
    b. Fannie Mae.
    c. Frannie Mac.
    d. None of the above.
160. A legal "artificial being" conducting business under a chartered name is a:
    a. sole proprietorship.
    b. partnership.
    c. corporation.
    d. none of the above.
161. The Continuing Education (CE) requirement to renew a license is:
    a. 10 hours every 2 years.
    b. 20 hours every 4 years.
    c. 45 hours every 4 years.
    d. none of the above.
162. Brokers should examine the call log book regularly to determine:
    a. the impact of any advertising campaign.
    b. if agents are showing up for work on time.
    c. what hours the office should stay open.
    d. none of the above.
163. The inventory of properties held primarily for sale to customers is called:
    a. dealer property.
    b. inventory property.
    c. either a and b.
    d. none of the above.
164. In California, qualifying owner-occupied residential property receives an annual homeowner's exemption of:
    a. $70.
    b. $700.
    c. $7,000.
    d. none of the above
165. How many copies of a listing agreement must be provided to a couple who is considered "one legal entity?"
    a. One
    b. Two
    c. Three
    d. None
166. The Real Estate Commissioner warns about which of the most commonly used real estate Internet scams?
    a. Creating a fake or fictitious listing for a rental property
    b. Offering to rent a real, but unavailable property
    c. Renting a property that is in foreclosure
    d. All of the above
167. Which of the following is a lender's extended coverage policy?
    a. CLTA

b. ALTA
c. RSPA
d. None of the above

168. The sale or lease of a business enterprise or opportunity and its goodwill is known as a:
a. business opportunity.
b. goodwill sale.
c. land sale.
d. none of the above.

169. A real estate assistant may work:
a. full time.
b. part time.
c. on call.
d. any of the above.

170. Domain names are now officially considered:
a. cyber real estate.
b. community property.
c. open interest accounts.
d. property of the Federal Trade Commission.

171. The MLS has an automatic email system that notifies a buyer when homes that fit his or her criteria come on the market called:
a. auto email alerts.
b. supertexting.
c. hotwiring.
d. twixting.

172. Lenders refer to a borrower with a low FICO score and a limited ability to cover family living expenses as a:
a. lost cause borrower.
b. prime borrower.
c. subprime borrower.
d. commercial borrower.

173. CalBRE licensees (brokers) who wish to negotiate mortgage loans and receive compensation for their services must have a:
a. perfect credit score.
b. securities license from the SEC.
c. NMLS endorsement.
d. all of the above.

174. The Real Estate Commissioner requires that all agreements prepared by salespeople:
a. be approved by the IRS.
b. be approved by their designated broker or sales manager.
c. be approved within a reasonable time.
d. both b and c are correct.

175. Most property owners move on an average of every:
a. 6 to 8 months.
b. 6 to 8 years.

c. 20 to 30 years.
d. 30 to 40 years.

176. As a fiduciary, you owe it:
a. to your principal to obtain the best market price.
b. to yourself to get the listing at a saleable price.
c. both a and b are correct.
d. none of the above.

177. In California, who customarily conducts the title search, prepares preliminary reports, and issues policies of title insurance?
a. Escrow company
b. Title insurance company
c. Real estate agent
d. None of the above

178. The source of most long-term financing for regional malls is:
a. life insurance companies.
b. commercial banks.
c. savings banks.
d. private lenders.

179. Which of the following do home buying research on the Internet?
a. Inspectors
b. Sellers
c. Lenders
d. Buyers

180. In order for agents to gain access to the house, keys are often kept:
a. under a rock.
b. in a lockbox.
c. with a neighbor.
d. all of the above.

181. "Scheduled income" is the potential gross income a property is capable of producing:
a. if there were no vacancies.
b. without deductions for expenses.
c. both a and b are correct.
d. neither a nor b is correct.

182. Failure of a buyer to fulfill the terms in the Notice to Buyer to Perform gives the seller the right to:
a. cancel the escrow within 24 hours if other terms are not specified.
b. charge the buyer a daily fine until contingencies are removed.
c. lower the listing agent's commission.
d. all of the above.

183. When selling real estate, the MOST effective form of communication is:
a. direct contact (face-to-face).
b. by letter (one-way).
c. by telephone (two-way).
d. none of the above.

184. In a purchase contract, which of the following are NOT considered contingencies?

a. Obtaining the deposit
b. Obtaining the down payment
c. Obtaining closing costs
d. All of the above

185. The CalBRE salesperson's exam:
a. takes three hours and fifteen minutes.
b. has 150 questions.
c. requires a score of 70% to pass.
d. all of the above.

186. The time assigned to individual agents to answer the company telephone is called:
a. downtime.
b. floortime.
c. private time.
d. golden time.

187. The amount of commission payable to a real estate broker is ordinarily based on:
a. statutory limitations.
b. rules and regulations of the CalBRE and the FBI.
c. a secret formula known only the Real Estate Commissioner.
d. agreement of the parties.

188. The list of potential clients that an agent contacts on a regular basis:
a. always belongs to his or her broker.
b. is a waste of time.
c. is technically considered harassment.
d. is considered his or her "sphere of influence."

189. A tenant's right to occupy real estate during the specified term of a lease is a:
a. less-than-freehold estate, or leasehold estate.
b. freehold estate.
c. non-binding estate.
d. none of the above.

190. Soliciting potential clients by telephoning people you don't know is called:
a. cold calling.
b. warm calling.
c. previewing.
d. blind advertising.

191. An escrow holder can be:
a. a corporation.
b. an attorney.
c. a real estate broker acting as the agent in a transaction.
d. all of the above.

192. Real property taxes are:
a. determined according to the value of the real property.
b. ad valorem taxes.
c. paid annually or semi-annually.
d. all of the above.

193. Which of the following lenders makes the majority of their funds available for short-term, high-interest loans like credit cards and automobile loans?

a. Savings banks
b. Commercial banks
c. Life insurance companies
d. None of the above

194. The type of ordinance in a city on residential properties that controls rents charged and how big rent increases is called:
a. code enforcement.
b. rent control.
c. mello roos.
d. senior housing enforcement.

195. The annual percentage rate (APR) is:
a. the amount financed plus interest rate, points, and loan fees.
b. the actual cost of borrowing money.
c. expressed as a percentage.
d. all of the above.

196. The letters "PMI" refer to:
a. prime money investment.
b. private money institute.
c. private mortgage insurance.
d. none of the above.

197. If the seller is not able or not willing to perform the terms and conditions agreed upon in the original Purchase agreement, the buyer's agent forwards which form to the listing agent?
a. 3-day quit notice
b. Notice to Seller to Perform
c. Seller Demand Letter
d. Buyer Notice to Perform

198. How a house looks to a passerby when compared to the rest of the neighborhood is called:
a. viewability.
b. curb appeal.
c. competitive factor.
d. all of the above.

199. With what type of commission plan does a broker not charge a fee, but a commission based on a percentage of the selling price?
a. Straight commission plan
b. 100% commission plan
c. Negative commission plan
d. None of the above

200. The type of listing in which the owners would be obligated to pay a commission to the broker even if the owners sell the property themselves during the listed period is:
a. illegal in California.
b. a multiple listing.
c. an exclusive right to sell listing.
d. an exclusive right to buy.

Real Estate Practice
Answer Key

1. a
2. b
3. c
4. a
5. a
6. a
7. b
8. d
9. c
10. c
11. a
12. c
13. d
14. b
15. c
16. c
17. d
18. a
19. a
20. b
21. a
22. c
23. d
24. b
25. a
26. a
27. b
28. a
29. d
30. c
31. d
32. b
33. d
34. a
35. b
36. b
37. c
38. c
39. a
40. d
41. b
42. a
43. c
44. d
45. a
46. a
47. c
48. c
49. a
50. a
51. b
52. c
53. c
54. c
55. b
56. b
57. b
58. c
59. b
60. a
61. d
62. b
63. d
64. d
65. a
66. a
67. d
68. a
69. b
70. c
71. b
72. c
73. a
74. a
75. b
76. d
77. d
78. b
79. a
80. d
81. d
82. b
83. c
84. a
85. c
86. d
87. b
88. b
89. d
90. c
91. c
92. a
93. d
94. b
95. b
96. a
97. c
98. b
99. a
100. c
101. c
102. a
103. b
104. d
105. a
106. b
107. b
108. d
109. c
110. a
111. c
112. c
113. d
114. b
115. b
116. a
117. a
118. d
119. c
120. b
121. d
122. a
123. a
124. b
125. b
126. d

127. a
128. b
129. b
130. a
131. b
132. c
133. a
134. b
135. d
136. c
137. d
138. a
139. a
140. a
141. a
142. c
143. b
144. b
145. b
146. b
147. c
148. a
149. a
150. b
151. b
152. c
153. a
154. a
155. b
156. c
157. c
158. d
159. a
160. c
161. c
162. a
163. c
164. c
165. a
166. d
167. b
168. a
169. d
170. a
171. a
172. c
173. c
174. d
175. b
176. c
177. b
178. a
179. d
180. b
181. c
182. a
183. a
184. d
185. d
186. b
187. d
188. d
189. a
190. a
191. d
192. d
193. b
194. b
195. d
196. c
197. b
198. b
199. a
200. c